

basket of stocks. We will buy the stock and sell the basket, and we will do the same thing with other stocks.

So it is basically a statistical arbitrage approach.

Yes it is. We have done a phenomenal amount of work on quantitatively selecting single stocks.

The implication of that is that there have been a lot of dead ends.

Yes, there have been.

I recall that you did have another equity strategy at one time. What happened to it?

Yes, we did. It was a market neutral strategy for investors who wanted the relative value approach in equities. It made money, but it wasn't top quartile. I want our products to be in the top two percentile, not in the bottom half. In August 2007, we had about \$9 billion in gross exposure in this strategy. I am sitting there, and I see LIBOR suddenly jump 10 points. This had never happened in my trading career. I thought, this just feels very bad and scary.⁵

Ten basis points doesn't sound like that much.

Yes, but it was for no reason at all. I looked at some bank balance sheet leverage statistics. One U.K. bank was 60 times leveraged. Its balance sheet was 7 percent of world GDP and over 150 percent of U.K. GDP. Banks wouldn't lend to each other because they had too much exposure. It didn't feel right.

A couple of weeks later, I went to give a talk at an investor conference in Lugano. Whenever I give a talk on global markets, I never write anything down. I just speak off the cuff. As I am presenting this speech, I find myself giving this huge rant about how I believed there was going to be a global credit crunch. I said, "Asking people in the credit market how they feel is like asking someone who has jumped out of the 50th floor window how he feels as he passes floor 10. He is currently all right, but he is not going to be soon." I heard myself coming out with this stream of consciousness.

You didn't plan this talk?